

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022, transactions that change only cash, equipment, money owed and money earned: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Running totals by code: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total assets Tk 767,000; accounts payable Tk 20,000; owner's equity Tk 747,000 (capital Tk 600,000 plus net income Tk 167,000 less drawings Tk 20,000). Revenue Tk 215,000; expenses Tk 48,000 (wages Tk 40,000, utilities Tk 8,000).

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

THE ELEMENTARY PRACTICES AND PRINCIPLES OF ACCOUNTING



KUTUSH KUMAR, KUTUM PAKHI

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

how revenue, expenses and drawings flow into owner's eq

FIG. 3.2. how revenue, expenses and drawings flow into owner's equity

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.3 BUSINESS TRANSACTIONS

In Business Transactions, we begin with what counts as a transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Business Transactions, we begin with source documents rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

What counts as a transaction starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Source documents starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The term **Transaction** means an event that has a money value and changes the accounting equation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Source document** means a paper or electronic proof that a transaction took place, such as an invoice or receipt. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account receivable** means an amount a customer owes the business for goods or services already provided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account payable** means an amount the business owes a supplier for goods or services already received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Assets, Liabilities and Owner's Equity, we begin with assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Assets, Liabilities and Owner's Equity, we begin with the equation: assets = liabilities + owner's equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Transaction. an event that has a money value and changes the accounting equation

Transaction names one specific idea needed here.

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt

Source document names one specific idea needed here.

Account receivable. an amount a customer owes the business for goods or services already provided

Account receivable names one specific idea needed here.

Account payable. an amount the business owes a supplier for goods or services already received

Account payable names one specific idea needed here.

Assets and liabilities starts with a concrete question.

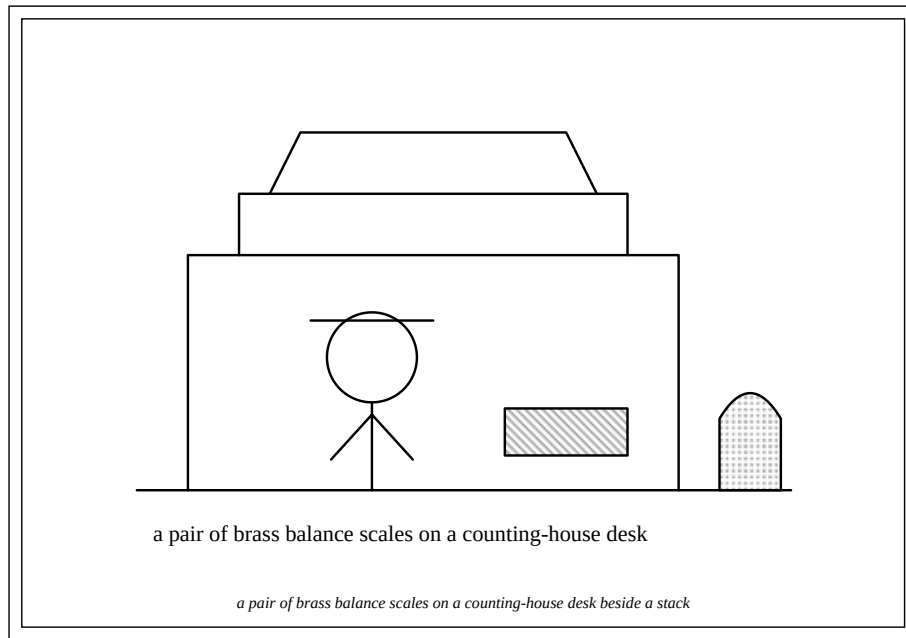
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The equation: Assets = Liabilities + Owner's equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER III

The Accounting Equation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

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system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. By 31 January 2022 the workshop owed Tk 20,000 to its machine supplier, Dhaka Machine Works. Four people wanted information about the workshop: Karim Meghna as owner; Dhaka Machine Works, which wanted to know whether the Tk 20,000 would be paid; a bank, to which Karim would apply for a loan in March 2022; and the National Board of Revenue, which collects income tax. No further figures are used.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounting, Its Users and Its Rules is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

users of accounting information arranged around a business

FIG. 2.2. users of accounting information arranged around a business

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.3 WHO USES ACCOUNTING INFORMATION

In Who Uses Accounting Information, we begin with internal users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Who Uses Accounting Information, we begin with external users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Internal users start with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

External users start with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Business. an organisation that provides goods or services to customers in order to earn money

Business names one specific idea needed here.

Profit. the money left over when a business has paid all its costs out of the money it earns

Profit names one specific idea needed here.

Loss. the shortfall that results when a business's costs are greater than the money it earns

Loss names one specific idea needed here.

Record. a written note, made at the time, of something that happened and its money value

Record names one specific idea needed here.

Customer. a person or organisation that pays for the goods or services a business provides

Customer names one specific idea needed here.

Supplier. a person or organisation that sells goods or services to a business

Supplier names one specific idea needed here.

Owner. a person who put money into a business and has a claim on what is left after debts are paid

Owner names one specific idea needed here.

Service firm. a business that earns money by doing work for customers instead of selling goods

Service firm names one specific idea needed here.

Merchandising firm. a business that buys finished goods and resells them without changing them

Merchandising firm names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Business, Money and Records addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

1.1 EVERYDAY MONEY AND THE NEED FOR RECORDS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Business** means an organisation that provides goods or services to customers in order to earn money. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit** means the money left over when a business has paid all its costs out of the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Loss** means the shortfall that results when a business's costs are greater than the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Record** means a written note, made at the time, of something that happened and its money value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Customer** means a person or organisation that pays for the goods or services a business provides. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Supplier** means a person or organisation that sells goods or services to a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner** means a person who put money into a business and has a claim on what is left after debts are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Service firm** means a business that earns money by doing work for customers instead of selling goods. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Merchandising firm** means a business that buys finished goods and resells them without changing them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Historical cost concept** means the rule that an asset is recorded at the price actually paid for it. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting standard** means a detailed rule, issued by an official body, on how a type of item must be recorded and reported. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Generally accepted accounting principles** means the body of agreed rules that businesses follow when they prepare accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What Accounting Is*, we begin with accounting as the language of business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What Accounting Is*, we begin with recording, classifying, summarising and reporting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Historical cost concept. the rule that an asset is recorded at the price actually paid for it

Historical cost concept names one specific idea needed here.

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported

Accounting standard names one specific idea needed here.

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts

Generally accepted accounting principles names one specific idea needed here.

Accounting as the language of business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording, classifying, summarising and reporting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a household month shown as money-in and money-out arrow

FIG. 1.1. a household month shown as money-in and money-out arrows

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.2 WHAT BUSINESSES DO

In *What Businesses Do*, we begin with business and its customers rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What Businesses Do*, we begin with profit and loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Business and its customers starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Profit and loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three ownership forms as owner-and-business diagrams

FIG. 1.3. three ownership forms as owner-and-business diagrams

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.4 SOLE TRADER, PARTNERSHIP AND COMPANY

In Sole Trader, Partnership and Company, we begin with three ways to own a business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sole Trader, Partnership and Company, we begin with who answers for what rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

The figure shows the same relationship in a compact visual form.

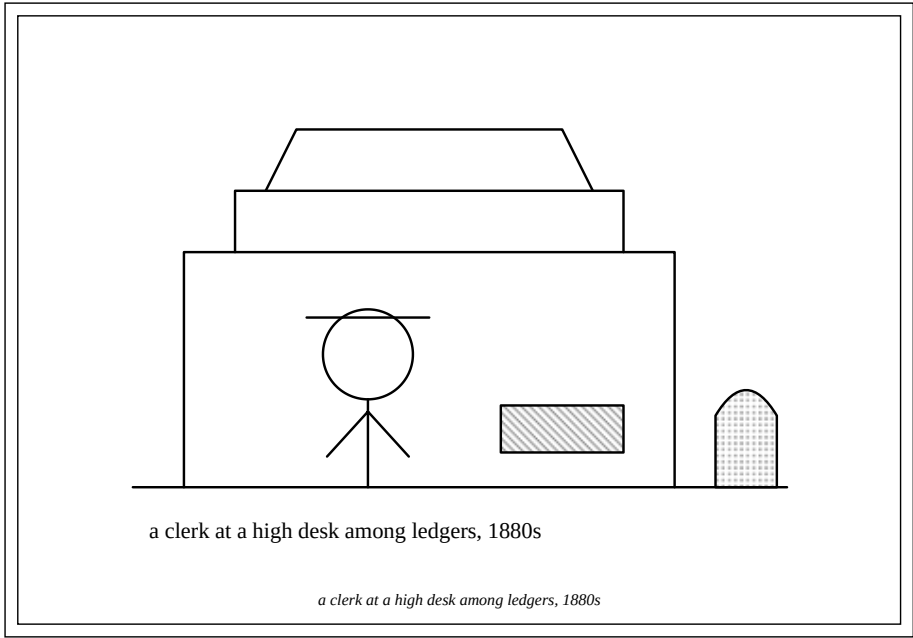
Three ways to own a business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Who answers for what starts with a concrete question.

The procedure keeps the idea tied to the facts.



a clerk at a high desk among ledgers, 1880s

a clerk at a high desk among ledgers, 1880s

CHAPTER II

Accounting, Its Users and Its Rules

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a trial balance with the two total lines highlighted

FIG. 7.1. a trial balance with the two total lines highlighted

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.2 FINDING AND CORRECTING ERRORS

In Finding and Correcting Errors, we begin with errors that stop the totals agreeing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Finding and Correcting Errors, we begin with errors the trial balance cannot find rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Errors that stop the totals agreeing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Errors the trial balance cannot find starts with a concrete question.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

The Accounting Equation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

03.T1 What is the central problem that this chapter method is designed to solve?

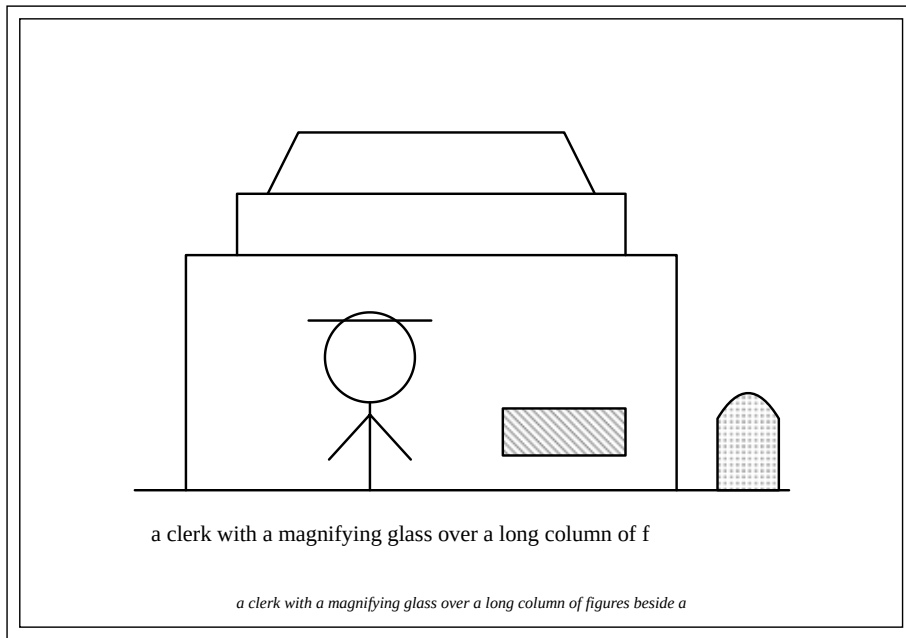
03.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Medici Bank of Florence, founded 1397 by Giovanni di Bicci de' Medici, kept ledgers that listed what the bank owned and owed. Search: Medici Bank ledgers balance 15th century. This note is included as a documented setting in which accounting records or accounting methods had practical consequences.



CHAPTER VII

The Trial Balance and the Accounting Cycle

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

Journal and Ledger is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Financial statement. a formal report that sums up the money results or position of a business

Financial statement names one specific idea needed here.

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period

Income statement names one specific idea needed here.

Statement of owner's equity. the report that shows how the owner's equity changed during a period

Statement of owner's equity names one specific idea needed here.

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date

Balance sheet names one specific idea needed here.

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports

Accounting period names one specific idea needed here.

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June

Fiscal year names one specific idea needed here.

Calendar year. the twelve months from 1 January to 31 December

Calendar year names one specific idea needed here.

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared

Interim period names one specific idea needed here.

Revenue, expenses and net income laid out starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. A First Look at the Financial Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

4.1 THE INCOME STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Financial statement** means a formal report that sums up the money results or position of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income statement** means the report that shows revenue, expenses and the resulting net income or net loss for a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Statement of owner's equity** means the report that shows how the owner's equity changed during a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Balance sheet** means the report that lists the assets, liabilities and owner's equity of a business on one date. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting period** means the stretch of time, such as a month or a year, covered by one set of reports. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Fiscal year** means a twelve-month accounting period that can start in any month, such as 1 July to 30 June. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Calendar year** means the twelve months from 1 January to 31 December. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does not, use a more accurate description.

The term **Interim period** means a period shorter than a year, such as a month or quarter, for which reports are prepared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Income Statement, we begin with revenue, expenses and net income laid out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Worked Cycle of Entries, we begin with checking your own work rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Ledger balances after posting (by code): Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Owner's Drawings Tk 20,000 Dr; Service Revenue Tk 215,000 Cr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr. Equipment purchase of 3 January is the compound entry: Equipment Dr Tk 150,000; Cash Cr Tk 100,000; Accounts Payable Cr Tk 50,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A changed situation tests whether the rule has been understood.

Checking your own work starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The closing capital figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

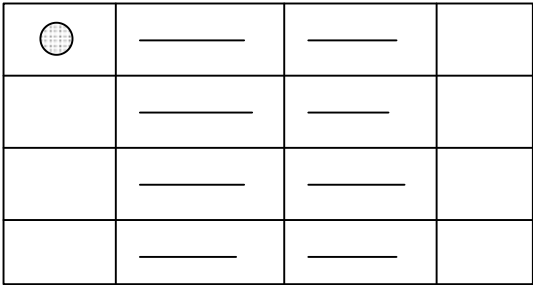
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Statement of Owner's Equity, we begin with the closing capital figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



one month, one quarter and one year on a timeline

FIG. 4.2. one month, one quarter and one year on a timeline

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

4.3 THE BALANCE SHEET

In The Balance Sheet, we begin with assets on one side, claims on the other rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Journal and Journal Entries, we begin with narration and compound entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a journal page with columns labelled

FIG. 6.1. a journal page with columns labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

6.2 THE LEDGER AND POSTING

In The Ledger and Posting, we begin with the ledger as the book of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Narration and compound entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

The ledger as the book of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Figures from the month ended 31 January 2022, with no adjustments yet. Revenue Tk 215,000 (binding work for cash Tk 95,000 and on account Tk 120,000). Expenses Tk 48,000 (wages Tk 40,000; utilities Tk 8,000). Net income Tk 167,000. Owner's equity: capital Tk 600,000 at 2 January, plus net income Tk 167,000, less drawings Tk 20,000, equals Tk 747,000. Assets at 31 January: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total Tk 767,000. Liabilities: accounts payable Tk 20,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

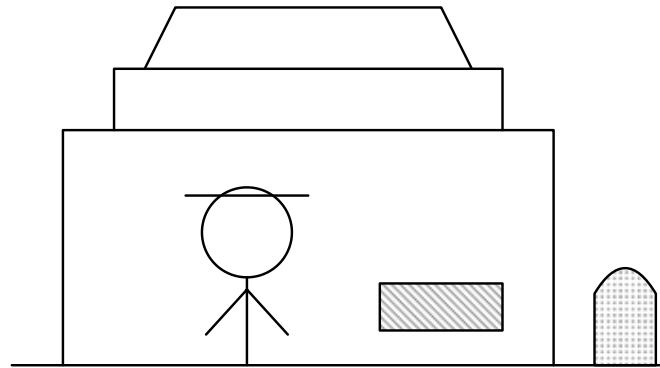
A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

REVIEW QUESTIONS

- 04.R1** State the main rule in your own words and apply it to a new small example.
- 04.R2** What check would you perform before accepting the result?



a long shelf of leather-bound ledgers with a wheeled li

a long shelf of leather-bound ledgers with a wheeled library ladder, 1

CHAPTER VI

Journal and Ledger

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

SOURCES

REVIEW QUESTIONS

05.R1 State the main rule in your own words and apply it to a new small example.

05.R2 What check would you perform before accepting the result?

The chapter includes a historical source note.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense

Account names one specific idea needed here.

Chart of accounts. the numbered list of all the accounts a business uses

Chart of accounts names one specific idea needed here.

Debit. an entry on the left side of an account

Debit names one specific idea needed here.

Credit. an entry on the right side of an account

Credit names one specific idea needed here.

Normal balance. the side of an account, debit or credit, on which its increases are recorded

Normal balance names one specific idea needed here.

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts

Double-entry system names one specific idea needed here.

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right

T-account names one specific idea needed here.

Account balance. the difference between the total debits and the total credits in an account

Account balance names one specific idea needed here.

What an account is starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounts, Debits and Credits addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

5.1 THE ACCOUNT AND ITS SIX TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Account** means a record of the increases and decreases in one kind of item, such as Cash or Wages Expense. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Chart of accounts** means the numbered list of all the accounts a business uses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit** means an entry on the left side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit** means an entry on the right side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Normal balance** means the side of an account, debit or credit, on which its increases are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Double-entry system** means the method in which every transaction is recorded as equal debits and credits in at least two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **T-account** means a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account balance** means the difference between the total debits and the total credits in an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Account and Its Six Types, we begin with what an account is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Normal balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Debit and Credit, we begin with normal balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a table of the six account types with their increase side

FIG. 5.2. a table of the six account types with their increase side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.3 DOUBLE ENTRY IN PRACTICE

In Double Entry in Practice, we begin with every transaction has two sides rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting cycle as a circle of steps

FIG. 7.2. the accounting cycle as a circle of steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.3 STEPS OF THE ACCOUNTING CYCLE

In Steps of the Accounting Cycle, we begin with the cycle from transaction to closing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Steps of the Accounting Cycle, we begin with where each later chapter fits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

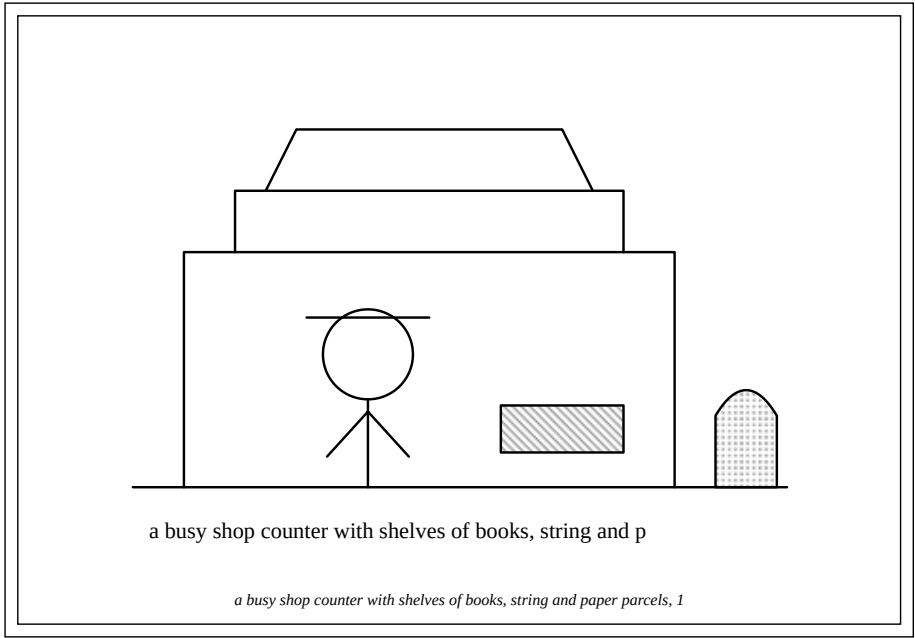
The figure shows the same relationship in a compact visual form.

The cycle from transaction to closing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Where each later chapter fits starts with a concrete question.



Merchandising Company Accounts and Classified Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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SUMMARY

Closing the Books is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 10.T1 What is the central problem that this chapter method is designed to solve?
- 10.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Adjusted balances at 31 January 2022, from the worksheet: Cash Tk 555,000; Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Equipment Tk 150,000; Accumulated Depreciation Tk 1,000 Cr; Accounts Payable Tk 38,000; Wages Payable Tk 9,000; Unearned Revenue Tk 22,000; Owner's Capital Tk 600,000; Owner's Drawings Tk 20,000; Service Revenue Tk 232,000; Wages Expense Tk 49,000; Utilities Expense Tk 8,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Net income Tk 151,000 (revenue Tk 232,000 less expenses Tk 81,000). Closing capital Tk 731,000 (Tk 600,000 plus Tk 151,000 less Tk 20,000). Total assets Tk 800,000; total liabilities Tk 69,000. Reversing entry for the Tk 9,000 wages accrual is made on 1 February 2022.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

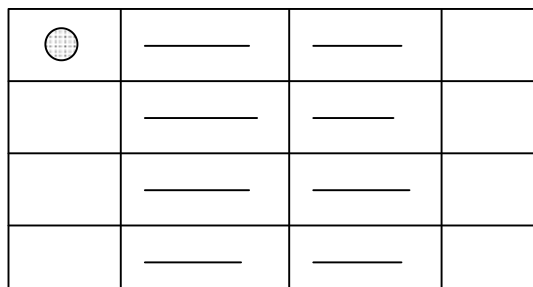
A further check keeps the rule tied to the facts.

07.R2 What check would you perform before accepting the result?

or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



the four closing entries as arrows into the income summ

FIG. 10.1. the four closing entries as arrows into the income summary and capital accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.2 CLOSING ENTRIES

In Closing Entries, we begin with why temporary accounts are closed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Closing Entries, we begin with the four closing entries rather than a list of rules. The first task is to identify the item or event being described and to

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Why temporary accounts are closed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The four closing entries starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount

Adjusting entry names one specific idea needed here.

Cash basis. the method of recording revenue and expenses only when cash is received or paid

Cash basis names one specific idea needed here.

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing

Accrual basis names one specific idea needed here.

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn

Matching principle names one specific idea needed here.

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up

Prepaid expense names one specific idea needed here.

Unearned revenue. money received before the work is done, held as a liability until the work is performed

Unearned revenue names one specific idea needed here.

Accrued expense. a cost already incurred in the period but not yet paid or recorded

Accrued expense names one specific idea needed here.

Accrued revenue. revenue earned in the period but not yet received or billed

Accrued revenue names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Adjusting the Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

8.1 WHY ACCOUNTS NEED ADJUSTING

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Adjusting entry** means a journal entry made at the end of a period to bring an account up to its correct amount. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash basis** means the method of recording revenue and expenses only when cash is received or paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrual basis** means the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

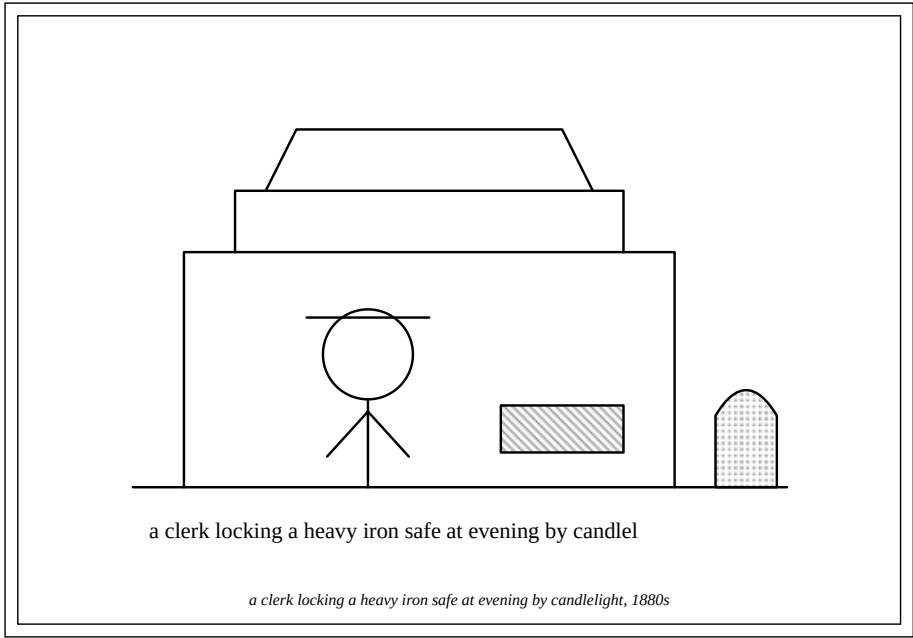
The term **Matching principle** means the rule that expenses are recorded in the same period as the revenue they helped to earn. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Prepaid expense** means a cost paid in advance, held as an asset until its benefit is used up. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Unearned revenue** means money received before the work is done, held as a liability until the work is performed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued expense** means a cost already incurred in the period but not yet paid or recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued revenue** means revenue earned in the period but not yet received or billed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.



CHAPTER X

Closing the Books

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline showing a payment made before, and a cost us

FIG. 8.1. a timeline showing a payment made before, and a cost used after, the month-end

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.2 PREPAID ITEMS AND UNEARNED REVENUE

In Prepaid Items and Unearned Revenue, we begin with prepaid expenses and supplies used rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Prepaid Items and Unearned Revenue, we begin with unearned revenue earned over time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Prepaid expenses and supplies used starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Unearned revenue earned over time starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after trial balance columns for one adjustment

FIG. 8.3. *before-and-after trial balance columns for one adjustment*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.4 DEPRECIATION AS AN ADJUSTMENT

In Depreciation as an Adjustment, we begin with spreading the cost of equipment over its life rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Depreciation as an Adjustment, we begin with accumulated depreciation as a contra account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000 (total Tk 877,000). (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000 (total Tk 877,000). Adjustments: (a) Rent Expense Dr, Prepaid Rent Cr Tk 12,000; (b) Supplies Expense Dr, Supplies Cr Tk 11,000; (c) Depreciation Expense Dr, Accumulated Depreciation Cr Tk 1,000; (d) Wages Expense Dr, Wages Payable Cr Tk 9,000; (e) Unearned Revenue Dr, Service Revenue Cr Tk 2,000; (f) Accounts Receivable Dr, Service Revenue Cr Tk 15,000. Adjusted totals Tk 902,000 each side. Income statement columns: debits (expenses) Tk 81,000, credits (revenue) Tk 232,000, net income Tk 151,000. Balance sheet columns: debits Tk 821,000, credits Tk 670,000, difference Tk 151,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Service Revenue Tk 232,000 Cr; Wages Expense Tk 49,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Adjusted totals Tk 902,000 each side.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

A further check keeps the rule tied to the facts.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the ten columns as a labelled grid

FIG. 9.1. the ten columns as a labelled grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

9.2 BUILDING THE TEN-COLUMN WORKSHEET

In Building the Ten-Column Worksheet, we begin with trial balance and adjustment columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Building the Ten-Column Worksheet, we begin with adjusted trial balance, statement and balance sheet columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Trial balance and adjustment columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Adjusted trial balance, statement and balance sheet columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Adjusting the Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 08.T1 What is the central problem that this chapter method is designed to solve?
- 08.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In September 2014 the British supermarket group Tesco announced that its profit had been overstated, because income from suppliers had been recorded too early. Search: Tesco 2014 profit overstatement supplier income timing. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 08.R1 State the main rule in your own words and apply it to a new small example.
- 08.R2 What check would you perform before accepting the result?

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. October 2024, one title, a first-year Business Mathematics textbook, periodic system. Opening inventory 1 October: 100 units at Tk 400. Purchases: 8 October 200 units at Tk 430; 16 October 150 units at Tk 450; 25 October 50 units at Tk 460. Sales in October: 380 units at Tk 700 each, total Tk 266,000. By code: goods available 500 units, Tk 216,500; ending inventory 120 units. FIFO: ending inventory Tk 54,500; cost of goods sold Tk 162,000; gross profit Tk 104,000. LIFO: ending inventory Tk 48,600; cost of goods sold Tk 167,900; gross profit Tk 98,100. Weighted average cost Tk 433 per unit: ending inventory Tk 51,960; cost of goods sold Tk 164,540; gross profit Tk 101,460. Note: IAS 2 does not permit LIFO, so teach it as a concept and say so.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Merchandise inventory. the goods a merchandising firm holds for resale

Merchandise inventory names one specific idea needed here.

Purchases. the cost of goods bought during the period for resale
Purchases names one specific idea needed here.

Sales. the selling price of goods sold to customers during the period

Sales names one specific idea needed here.

Sales return. goods that a customer sends back, reducing sales

Sales return names one specific idea needed here.

Purchase return. goods that the firm sends back to a supplier, reducing purchases
Purchase return names one specific idea needed here.

Freight-in. the cost of carrying purchased goods to the firm's premises

Freight-in names one specific idea needed here.

Cost of goods sold. the cost of the goods that were sold during the period

Cost of goods sold names one specific idea needed here.

Gross profit. net sales less cost of goods sold

Gross profit names one specific idea needed here.

Product cost. a cost included in the cost of the goods themselves

Product cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Merchandising Company Accounts and Classified Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

11.1 BUYING AND SELLING GOODS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Merchandise inventory** means the goods a merchandising firm holds for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases** means the cost of goods bought during the period for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales** means the selling price of goods sold to customers during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales return** means goods that a customer sends back, reducing sales. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchase return** means goods that the firm sends back to a supplier, reducing purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Freight-in** means the cost of carrying purchased goods to the firm's premises. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost of goods sold** means the cost of the goods that were sold during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Gross profit** means net sales less cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Product cost** means a cost included in the cost of the goods themselves. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In FIFO, we begin with ending inventory under fifo rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline of purchases and sales for the textbook

FIG. 14.3. a timeline of purchases and sales for the textbook

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.4 LIFO AND WEIGHTED AVERAGE

In LIFO and Weighted Average, we begin with last-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Ending inventory under FIFO starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Last-in, first-out starts with a concrete question.

Cost of goods sold and gross profit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Buying and Selling Goods, we begin with cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

goods flowing from supplier to shop to customer with th

FIG. 11.1. goods flowing from supplier to shop to customer with the account for each step

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.2 PRODUCT COSTS AND PERIOD COSTS

In Product Costs and Period Costs, we begin with product costs versus period costs rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Product costs versus period costs starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The term **Ending inventory** means the cost of goods still held at the end of the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Inventory Is and Its Types, we begin with inventory as a current asset rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Inventory Is and Its Types, we begin with raw materials, work in process and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

layers of inventory by purchase date, with arrows for F

FIG. 14.1. layers of inventory by purchase date, with arrows for FIFO and LIFO

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

Ending inventory. the cost of goods still held at the end of the period

Ending inventory names one specific idea needed here.

Inventory as a current asset starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Raw materials, work in process and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified balance sheet with current and non-current

FIG. 11.3. a classified balance sheet with current and non-current groups

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.4 THE CLASSIFIED BALANCE SHEET

In The Classified Balance Sheet, we begin with current and non-current assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Classified Balance Sheet, we begin with why the grouping helps a lender rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Current and non-current assets and liabilities starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the grouping helps a lender starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Merchandising Company Accounts and Classified Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

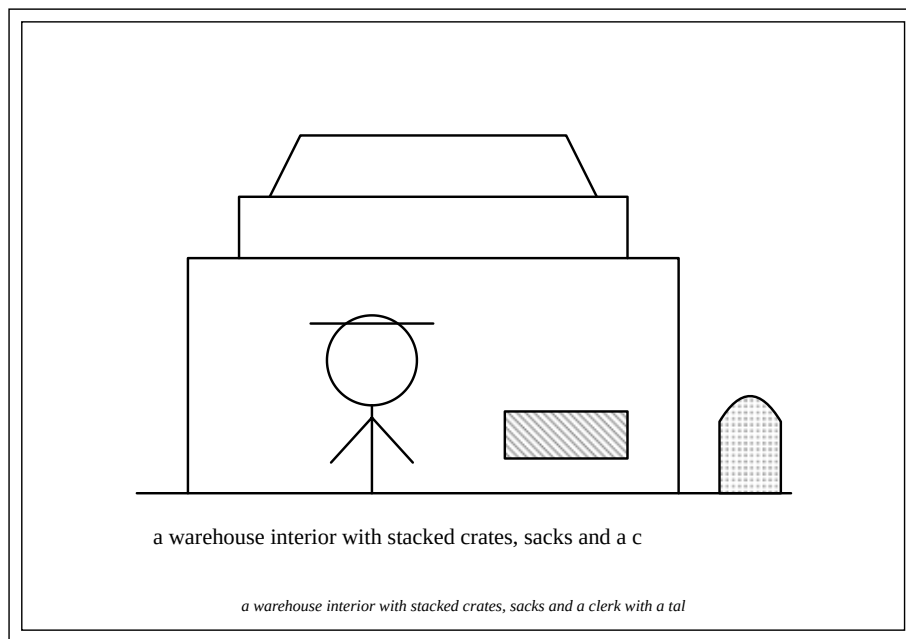
THINK IT THROUGH

11.T1 What is the central problem that this chapter method is designed to solve?

11.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.



CHAPTER XIV

Inventory

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Reconciliation Statement, we begin with journal entries after reconciling rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Cash book balance at 31 May 2024 Tk 313,000 (see May 2024 receipts and payments). Items found when the bank statement arrived: cheque 5004 for Tk 85,000 to Jamuna Distributors not yet presented; the Tk 95,000 received from Green Valley College on 28 May banked on 31 May but not yet shown by the bank; bank charges of Tk 1,500 not yet in the cash book; a direct payment of Tk 8,000 from Notun Library into the bank, not yet in the cash book. By code: adjusted cash book balance Tk 319,500; bank statement balance Tk 309,500.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries after reconciling starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases

Special journal names one specific idea needed here.

General journal. the journal used for transactions that no special journal covers

General journal names one specific idea needed here.

Invoice. a document sent by a seller stating the goods or services supplied and the amount due

Invoice names one specific idea needed here.

Purchases journal. the special journal for goods bought on credit

Purchases journal names one specific idea needed here.

Sales journal. the special journal for goods sold on credit

Sales journal names one specific idea needed here.

Cash receipts journal. the special journal for all money received

Cash receipts journal names one specific idea needed here.

Cash disbursements journal. the special journal for all money paid out

Cash disbursements journal names one specific idea needed here.

Cash book. a book that records the receipts and payments passing through the firm's bank account

Cash book names one specific idea needed here.

Repeated transactions and the time they waste starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Special Journals and the Cash Book addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

12.1 WHY SPECIAL JOURNALS EXIST

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Special journal** means a journal used for only one kind of repeated transaction, such as credit purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **General journal** means the journal used for transactions that no special journal covers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Invoice** means a document sent by a seller stating the goods or services supplied and the amount due. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases journal** means the special journal for goods bought on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales journal** means the special journal for goods sold on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash receipts journal** means the special journal for all money received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash disbursements journal** means the special journal for all money paid out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash book** means a book that records the receipts and payments passing through the firm's bank account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Special Journals Exist, we begin with repeated transactions and the time they waste rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Cash Book and Bank Statement, we begin with why the balances rarely agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book and a bank statement side by side with matc

FIG. 13.1. a cash book and a bank statement side by side with matching items marked

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.2 CAUSES OF DIFFERENCES; DEBIT AND CREDIT MEMOS

In Causes of Differences; Debit and Credit Memos, we begin with timing differences: deposits in transit and outstanding cheques rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the balances rarely agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Timing differences: deposits in transit and outstanding cheques starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording sales on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Cash receipts and the cash book starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Purchases and Sales Journals, we begin with recording sales on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book with a receipts side and a payments side

FIG. 12.2. a cash book with a receipts side and a payments side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.3 THE CASH BOOK AND CASH DISBURSEMENTS

In The Cash Book and Cash Disbursements, we begin with cash receipts and the cash book rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

* * *

A further check keeps the rule tied to the facts.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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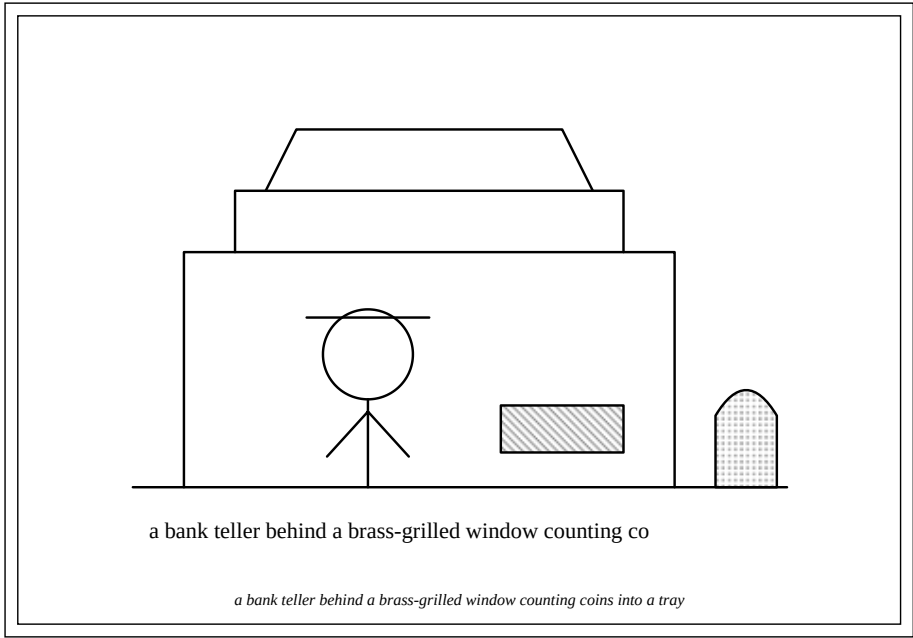
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.



CHAPTER XIII

Bank Reconciliation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

A further check keeps the rule tied to the facts.

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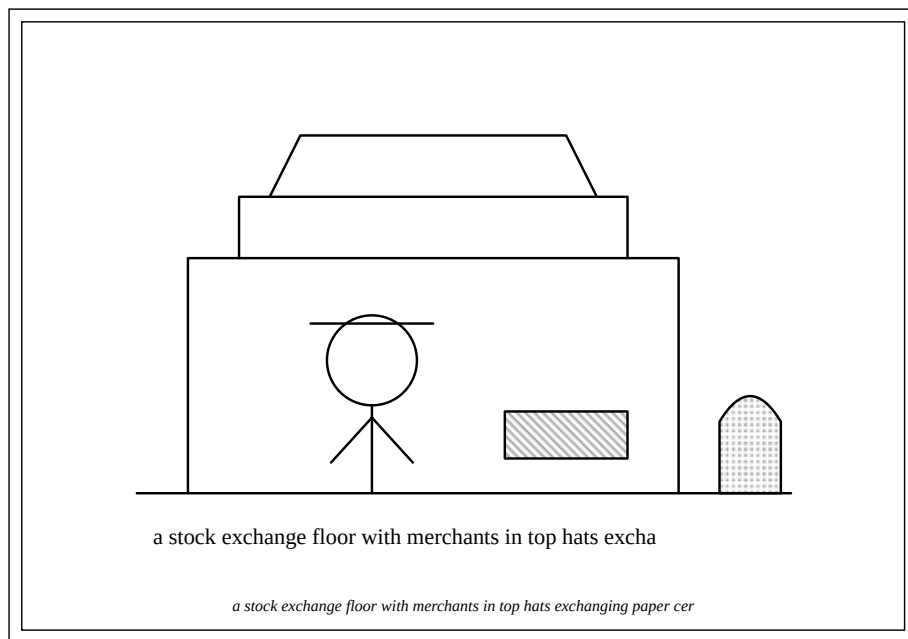
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.



CHAPTER XVIII

Company Accounting and Shares

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

SUMMARY

Partnership Liquidation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

The chapter can be reduced to a small set of working rules.

REVIEW QUESTIONS

14.R1 State the main rule in your own words and apply it to a new small example.

14.R2 What check would you perform before accepting the result?

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. A planning exercise on 31 March 2026: the partners Karim and Imran Meghna study what would happen if the partnership were closed. Balance sheet: cash Tk 100,000; non-cash assets Tk 800,000; liabilities Tk 300,000; capital Karim Tk 450,000 and Imran Tk 150,000 (Tk 900,000 each side). Losses are shared 2:1. By code: (A) non-cash assets sold for Tk 590,000, loss Tk 210,000 (Karim Tk 140,000; Imran Tk 70,000); cash Tk 690,000, after paying liabilities Tk 390,000 is shared: Karim Tk 310,000; Imran Tk 80,000. (B) assets sold for Tk 320,000, loss Tk 480,000 (Karim Tk 320,000; Imran Tk 160,000); Imran's capital falls to a deficiency of Tk 10,000, which he pays in cash, so Karim receives Tk 130,000. (C) as (B) but Imran cannot pay; Karim absorbs the Tk 10,000 and receives Tk 120,000. The firm in fact continued.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business

Plant asset names one specific idea needed here.

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation

Capital expenditure names one specific idea needed here.

Useful life. the period over which an asset is expected to be of use to the business

Useful life names one specific idea needed here.

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life

Residual value names one specific idea needed here.

Depreciable cost. the cost of an asset less its residual value

Depreciable cost names one specific idea needed here.

Straight-line method. a method that charges the same depreciation each year

Straight-line method names one specific idea needed here.

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used

Units-of-production method names one specific idea needed here.

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost

Sum-of-the-years'-digits method names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Plant Assets and Depreciation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

15.1 NATURE AND COST OF PLANT ASSETS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Plant asset** means a long-lived physical asset, such as equipment or a building, used in running the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital expenditure** means spending that adds to the cost of an asset, including delivery and installation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Useful life** means the period over which an asset is expected to be of use to the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Residual value** means the amount the firm expects to receive when it disposes of the asset at the end of its useful life. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciable cost** means the cost of an asset less its residual value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Straight-line method** means a method that charges the same depreciation each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Units-of-production method** means a method that charges depreciation in proportion to how much the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sum-of-the-years'-digits method** means a method that charges more depreciation in early years, using a falling fraction of depreciable cost. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of payment in a liquidation as a stair of thr

FIG. 17.1. the order of payment in a liquidation as a stair of three steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.2 SELLING ASSETS AND PAYING CREDITORS

In Selling Assets and Paying Creditors, we begin with realisation of non-cash assets and the loss on realisation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Selling Assets and Paying Creditors, we begin with paying liabilities before partners rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Realisation of non-cash assets and the loss on realisation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Paying liabilities before partners starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three bar charts of yearly depreciation under the three

FIG. 15.1. three bar charts of yearly depreciation under the three methods

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.2 WHY WE DEPRECIATE; FACTORS THAT AFFECT IT

In Why We Depreciate; Factors That Affect It, we begin with useful life, residual value and depreciable cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why We Depreciate; Factors That Affect It, we begin with depreciation expense versus accumulated depreciation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Useful life, residual value and depreciable cost starts with a concrete question.

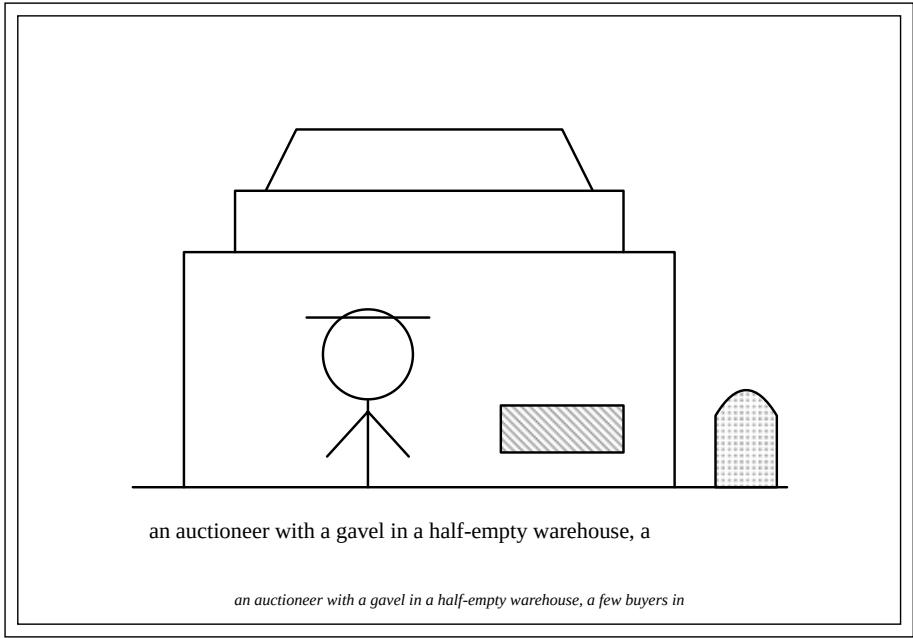
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Depreciation expense versus accumulated depreciation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



Partnership Liquidation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a depreciation schedule table

FIG. 15.3. a depreciation schedule table

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.4 SUM OF THE YEARS' DIGITS

In Sum of the Years' Digits, we begin with sum-of-the-years'-digits method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sum of the Years' Digits, we begin with comparing the three patterns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Sum-of-the-years'-digits method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Comparing the three patterns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

BRAC, a non-profit organisation, was founded in 1972 by Fazle Hasan Abed to help refugees returning to Bangladesh after the war, and became one of the world's largest non-governmental organisations. Search: BRAC founded 1972 Fazle Hasan Abed Sulla. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

16.R1 State the main rule in your own words and apply it to a new small example.

16.R2 What check would you perform before accepting the result?

The historical case shows why careful records matter beyond a textbook example.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

SUMMARY

Plant Assets and Depreciation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

15.T1 What is the central problem that this chapter method is designed to solve?

15.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In 1998 the waste company Waste Management restated years of earnings after it was found that useful lives of its vehicles and containers had been extended without good reason. Search: Waste Management 1998 restatement depreciation useful lives SEC. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

15.R1 State the main rule in your own words and apply it to a new small example.

15.R2 What check would you perform before accepting the result?

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of a profit appropriation account

FIG. 16.2. the order of a profit appropriation account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.3 SHARING PROFIT AND PARTNERS' CAPITAL

In Sharing Profit and Partners' Capital, we begin with profit-sharing ratio, interest and salary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sharing Profit and Partners' Capital, we begin with the appropriation account and partners' balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Profit-sharing ratio, interest and salary starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The appropriation account and partners' balances starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit

Non-trading concern names one specific idea needed here.

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to

Receipts and payments account names one specific idea needed here.

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement

Income and expenditure account names one specific idea needed here.

Surplus. the amount by which income is greater than expenditure in a non-trading concern

Surplus names one specific idea needed here.

Deficit. the amount by which expenditure is greater than income in a non-trading concern

Deficit names one specific idea needed here.

Subscription. a regular payment that a member makes to a club

Subscription names one specific idea needed here.

Partnership deed. the written agreement among partners on how the business is run and profit shared

Partnership deed names one specific idea needed here.

Profit-sharing ratio. the agreed proportions in which partners share profit and loss

Profit-sharing ratio names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Non-Trading Concerns and Partnership Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

16.1 NON-TRADING CONCERNS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Non-trading concern** means an organisation, such as a club, that exists to serve its members and not to earn profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Receipts and payments account** means a summary of all cash received and paid in a period, whatever period it belongs to. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income and expenditure account** means the report of a non-trading concern that matches income and costs to the period, like an income statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Surplus** means the amount by which income is greater than expenditure in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deficit** means the amount by which expenditure is greater than income in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Subscription** means a regular payment that a member makes to a club. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership deed** means the written agreement among partners on how the business is run and profit shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit-sharing ratio** means the agreed proportions in which partners share profit and loss. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

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The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Share, one of the equal parts into which a company's capital is divided

Share names one specific idea needed here.

Shareholder, a person or organisation that owns one or more shares in a company

Shareholder names one specific idea needed here.

Limited liability, the rule that shareholders can lose no more than they have paid or agreed to pay for their shares

Limited liability names one specific idea needed here.

Ordinary share, a share that carries the right to vote and to receive the profit left after other claims

Ordinary share names one specific idea needed here.

Preference share, a share that has a right to a fixed dividend before ordinary shareholders are paid

Preference share names one specific idea needed here.

Par value, the face value printed on a share

Par value names one specific idea needed here.

Share premium, the amount a company receives above par value when it issues a share

Share premium names one specific idea needed here.

Dividend, a share of a company's profit paid to its shareholders

Dividend names one specific idea needed here.

Application money, the first payment, made with a request to buy shares

Application money names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Company Accounting and Shares addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

18.1 WHAT A COMPANY IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Share** means one of the equal parts into which a company's capital is divided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Shareholder** means a person or organisation that owns one or more shares in a company. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Limited liability** means the rule that shareholders can lose no more than they have paid or agreed to pay for their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ordinary share** means a share that carries the right to vote and to receive the profit left after other claims. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Preference share** means a share that has a right to a fixed dividend before ordinary shareholders are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Par value** means the face value printed on a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Share premium** means the amount a company receives above par value when it issues a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Dividend** means a share of a company's profit paid to its shareholders. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Application money** means the first payment, made with a request to buy shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

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	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

owners, shares and company shown as three layers

FIG. 18.1. owners, shares and company shown as three layers

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.2 TYPES OF SHARES

Ordinary and preference shares starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Par value and share premium starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Types of Shares, we begin with ordinary and preference shares rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Types of Shares, we begin with par value and share premium rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

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* * *

WORKED CASE

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Situation. Meghna and Sons, illustrative. On 1 July 2026 the family business became Meghna Books Limited. Authorised capital Tk 6,000,000: 400,000 ordinary shares of Tk 10 par value and 20,000 6% preference shares of Tk 100 par value. Issue of 200,000 ordinary shares at Tk 12 each, payable Tk 4 on application, Tk 5 on allotment (including the Tk 2 premium) and Tk 3 on the final call. By code: application Tk 800,000; allotment Tk 1,000,000; call Tk 600,000; total Tk 2,400,000, of which share capital Tk 2,000,000 and share premium Tk 400,000. All applicants pay in full on each due date. 20,000 preference shares issued at par for cash, Tk 2,000,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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FURTHER READING

ICAEW, Historical accounting literature collection, 1494 and related materials

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Dhaka Stock Exchange was established in 1954 as the East Pakistan Stock Exchange Association and renamed in 1964. Search: Dhaka Stock Exchange history 1954 established. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

18.R1 State the main rule in your own words and apply it to a new small example.

18.R2 What check would you perform before accepting the result?

The historical case shows why careful records matter beyond a textbook example.

10.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XI · MERCHANDISING COMPANY ACCOUNTS AND CLASSIFIED STATEMENTS

11.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XII · SPECIAL JOURNALS AND THE CASH BOOK

12.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIII · BANK RECONCILIATION

13.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIV · INVENTORY

14.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

A.1 PERCENTAGES AND PERCENTAGE CHANGE

The term **Percentage** means a number written as a part out of one hundred. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Percentage change** means the size of an increase or decrease shown as a percentage of the starting figure. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Ratio** means a comparison of two or more amounts, written with a colon, such as 2:1. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Average** means the total of a set of numbers divided by how many numbers there are. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Rounding** means replacing a number by a nearby simpler number, such as the nearest whole taka. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.2 RATIOS AND AVERAGES

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.3 REARRANGING, ROUNDING AND GRAPHS

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

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Percentage. a number written as a part out of one hundred

Percentage gives a precise mathematical meaning.

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure

Percentage change gives a precise mathematical meaning.

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1

Ratio gives a precise mathematical meaning.

Average. the total of a set of numbers divided by how many numbers there are

Average gives a precise mathematical meaning.

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka

Rounding gives a precise mathematical meaning.

Percentages and Percentage Change provides a practical mathematical tool.

Ratios and Averages provides a practical mathematical tool.

Rearranging, Rounding and Graphs provides a practical mathematical tool.

A short numerical check prevents an avoidable arithmetic error.

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ANSWERS TO QUESTIONS

CHAPTER I · BUSINESS, MONEY AND RECORDS

01.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER II · ACCOUNTING, ITS USERS AND ITS RULES

02.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER III · THE ACCOUNTING EQUATION

03.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IV · A FIRST LOOK AT THE FINANCIAL STATEMENTS

04.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER V · ACCOUNTS, DEBITS AND CREDITS

05.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

Share. one of the equal parts into which a company's capital is divided The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Share premium. the amount a company receives above par value when it issues a share The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Shareholder. a person or organisation that owns one or more shares in a company The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Sole trader. one person who owns and runs a business and is personally responsible for its debts The chapter example shows how the term is used in practice. (*Chapter I*)

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt The chapter example shows how the term is used in practice. (*Chapter III*)

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases The chapter example shows how the term is used in practice. (*Chapter XII*)

Statement of owner's equity. the report that shows how the owner's equity changed during a period The chapter example shows how the term is used in practice. (*Chapter IV*)

Stockout. a shortage that occurs when goods are wanted by customers but none are available The chapter example shows how the term is used in practice. (*Chapter XIV*)

Straight-line method. a method that charges the same depreciation each year The chapter example shows how the term is used in practice. (*Chapter XV*)

Subscription. a regular payment that a member makes to a club The chapter example shows how the term is used in practice. (*Chapter XVI*)

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost The chapter example shows how the term is used in practice. (*Chapter XV*)

Supplier. a person or organisation that sells goods or services to a business The chapter example shows how the term is used in practice. (*Chapter I*)

Surplus. the amount by which income is greater than expenditure in a non-trading concern The chapter example shows how the term is used in practice. (*Chapter XVI*)

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right The chapter example shows how the term is used in practice. (*Chapter V*)

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period The chapter example shows how the term is used in practice. (*Chapter X*)

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet The chapter example shows how the term is used in practice. (*Chapter IX*)

Transaction. an event that has a money value and changes the accounting equation The chapter example shows how the term is used in practice. (*Chapter III*)

Allotment. the company's decision to give shares to applicants, with the payment due on that step The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Application money. the first payment, made with a request to buy shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Appropriation account. the account that shows how a partnership's profit is divided among the partners The chapter example shows how the term is used in practice. (*Chapter XVI*)

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers The chapter example shows how the term is used in practice. (*Chapter III*)

Average. the total of a set of numbers divided by how many numbers there are The chapter example shows how the term is used in practice. (*Appendix A*)

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date The chapter example shows how the term is used in practice. (*Chapter IV*)

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance The chapter example shows how the term is used in practice. (*Chapter XIII*)

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account The chapter example shows how the term is used in practice. (*Chapter XIII*)

Book value. an asset's cost less its accumulated depreciation The chapter example shows how the term is used in practice. (*Chapter XV*)

Business. an organisation that provides goods or services to customers in order to earn money The chapter example shows how the term is used in practice. (*Chapter I*)

Business entity concept. the rule that a business is kept separate from its owner when records are made The chapter example shows how the term is used in practice. (*Chapter II*)

Calendar year. the twelve months from 1 January to 31 December The chapter example shows how the term is used in practice. (*Chapter IV*)

Call. a later request to shareholders to pay part of the amount still owed on their shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Capital deficiency. a debit balance in a partner's capital account after losses are shared The chapter example shows how the term is used in practice. (*Chapter XVII*)

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation The chapter example shows how the term is used in practice. (*Chapter XV*)

Cash basis. the method of recording revenue and expenses only when cash is received or paid The chapter example shows how the term is used in practice. (*Chapter VIII*)

Cash book. a book that records the receipts and payments passing through the firm's bank account The chapter example shows how the term is used in practice. (*Chapter XII*)

Normal balance. the side of an account, debit or credit, on which its increases are recorded The chapter example shows how the term is used in practice. (Chapter V)

Operating expense. a cost of running the business apart from the cost of goods sold The chapter example shows how the term is used in practice. (Chapter XI)

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims The chapter example shows how the term is used in practice. (Chapter XVIII)

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid The chapter example shows how the term is used in practice. (Chapter XIII)

Owner. a person who put money into a business and has a claim on what is left after debts are paid The chapter example shows how the term is used in practice. (Chapter I)

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets The chapter example shows how the term is used in practice. (Chapter III)

Par value. the face value printed on a share The chapter example shows how the term is used in practice. (Chapter XVIII)

Partnership. a business owned by two or more people who agree to share its profit The chapter example shows how the term is used in practice. (Chapter I)

Partnership deed. the written agreement among partners on how the business is run and profit shared The chapter example shows how the term is used in practice. (Chapter XVI)

Percentage. a number written as a part out of one hundred The chapter example shows how the term is used in practice. (Appendix A)

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure The chapter example shows how the term is used in practice. (Appendix A)

Period cost. a cost of running the business that is charged to the period in which it occurs The chapter example shows how the term is used in practice. (Chapter XI)

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period The chapter example shows how the term is used in practice. (Chapter X)

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business The chapter example shows how the term is used in practice. (Chapter XV)

Posting. copying the amounts from journal entries into the proper ledger accounts The chapter example shows how the term is used in practice. (Chapter VI)

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid The chapter example shows how the term is used in practice. (Chapter XVIII)

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up The chapter example shows how the term is used in practice. (Chapter VIII)

provides The chapter example shows how the term is used in practice. (Chapter I)

Debit. an entry on the left side of an account The chapter example shows how the term is used in practice. (Chapter V)

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge The chapter example shows how the term is used in practice. (Chapter XIII)

Deficit. the amount by which expenditure is greater than income in a non-trading concern The chapter example shows how the term is used in practice. (Chapter XVI)

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement The chapter example shows how the term is used in practice. (Chapter XIII)

Depreciable cost. the cost of an asset less its residual value The chapter example shows how the term is used in practice. (Chapter XV)

Depreciation. the sharing of an asset's cost across the periods in which the asset is used The chapter example shows how the term is used in practice. (Chapter VIII)

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year The chapter example shows how the term is used in practice. (Chapter XV)

Dividend. a share of a company's profit paid to its shareholders The chapter example shows how the term is used in practice. (Chapter XVIII)

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts The chapter example shows how the term is used in practice. (Chapter V)

Drawings. money or goods the owner takes out of the business for personal use The chapter example shows how the term is used in practice. (Chapter III)

Ending inventory. the cost of goods still held at the end of the period The chapter example shows how the term is used in practice. (Chapter XIV)

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records The chapter example shows how the term is used in practice. (Chapter VII)

Expense. a cost of running the business that is used up in earning revenue The chapter example shows how the term is used in practice. (Chapter III)

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers The chapter example shows how the term is used in practice. (Chapter II)

Financial statement. a formal report that sums up the money results or position of a business The chapter example shows how the term is used in practice. (Chapter IV)

Finished goods. completed products waiting to be sold The chapter example shows how the term is used in practice. (Chapter XIV)

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold The chapter example shows how the term is used in practice. (Chapter XIV)

